EXECUTIVE SUMMARY

1. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904.

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 38,806 in 6,572 households (Actual data from the MHO based on BHW Census 2018). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Allacapan, like any other local government unit exercises its powers and operating the same as provided in RA 7160 otherwise known as the Local Government Code of the Philippines. It discharges functions necessary for efficient and effective provision of the basic services and facilities such as infrastructure facilities, solid waste disposal, social and health services, information services, support for education, police and fire services and facilities. It also endeavors to be self-reliant and continues exercising the powers and discharging the duties and functions and responsibilities of national agencies as devolved.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019, were P378,960,069.71, P77,480,084.09 and P301,479,985.62, with an increase of 20.70%, 103.32% and 9.28%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P157,604,758.52 and P130,342,599.86, which increased by 10.07% and 10.55%, respectively, from last year's figures.

Particulars	2019	2018	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P378,960,069.71	P313,973,197.61	P64,986,872.10	20.70%
Liabilities	77,480,084.09	38,106,805.13	39,373,278.96	103.32%
Govt. Equity	301,479,985.62	275,866,392.48	25,613,593.14	9.28%

Financial Performance				
Income	P157,604,758.52	P143,188,856.47	P14,415,902.05	10.07%
Expenses	130,342,599.86	117,903,938.96	12,438,660.90	10.55%
Appropriations, Allotments and Obligation				
Appropriations	P159,661,408.34	P157,560,830.00	P2,100,578.34	1.33%
Allotments	159,771,388.34	157,560,830.00	2,210,558.34	1.40%
Obligations	129,822,094.17	138,716,617.24	(8,894,523.07)	(6.41%)

Comparative Statement of Funds Transfer to and from NGAs, NGOs and POs.

Particulars	**2019**	**2018**	**Increase/(Decrease)**
Funds Transferred to Other Agencies:			
Due from NGAs	P 40,205.51	P 40,205.51	-
Due from GOCCs	16,653.70	16,653.70	-
Due from LGUs	337,192.61	445,812.05	(108,619.44)
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 394,051.82**	**P 502,671.26**	**(P 108,619.44)**
Funds Transferred from Other Agencies:			
Due to NGAs	41,309,235.25	P 10,130,017.52	P 31,179,217.73
Due to GOCCs	244,565.83	245,082.24	(516.41)
Due to LGUs	1,919,298.17	2,194,089.29	(274,791.12)
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 43,473,099.25**	**P 12,569,189.05**	**P 30,903,910.20**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements since the correctness and validity of the Road Networks account as part of LGU's Property, Plant and Equipment (PPE) valued at P105,858,923.68 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to strictly observed complete and proper accounting and reporting guidelines on local road network system. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said account.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned

departments, thus the correctness of the balance of Road Networks account of ₱105,858,923.68 as of December 31, 2019 could not be ascertained.

We recommended that the Local Chief Executive enjoin the concerned departments to strictly follow and implement the provisions contained in the above mentioned Circular to fairly present the book value of the Road Networks account in the Financial Statements of the Municipal Government.

2. The Municipal Treasurer incurred a cash shortage totaling P1,001,749.60 as discovered as of December 17, 2019 due to irregular practices in the handling of cash contrary to Item 33(a) Chapter 2 of the COA Memorandum No. 2013-004 dated July 9, 2013, Sections 69, 101 and 105(2) of P.D. 1445, Section 470 of R. A. 7160 otherwise known as the Local Government Code of 1991 and Book One Chapter 4 Section 23 of the Local Treasury Manual of the Bureau of Local Government Finance.

   We recommended that:

   a. The Municipal Mayor direct the Municipal Treasurer to restitute immediately the missing funds totaling P1,001,749.60, otherwise, cause the withholding of her salary and other emoluments due to her and cause the filing of appropriate charges against the Municipal Treasurer, if warranted;

   b. The Municipal Treasurer deposit intact and regularly her daily collections of revenues and receipts to avoid loss of government funds; and

   c. The Municipal Mayor relieve immediately the Municipal Treasurer from her duty as Accountable Officer due to recurrence of cash shortage;

   d. The Municipal Accountant take up in the books the cash shortage as a debit to the Due from Officers and Employees account and credit the corresponding cash account for the proper presentation of the cash account in the LGU's financial statements.

3. Of the total projects budgeted at P37,804,268.91 from the 20% Development Fund, 21 projects aggregating to P10,929,412.14 or 29% were either partially/not implemented as of year-end contrary to the intent of DBM-DILG Joint Memorandum Circular No. 2017-01 dated February 22, 2017, thus depriving the constituents of the benefits to be derived therefrom which adversely affected the efficiency of the municipality towards the achievement of its goals.

   We recommended that management implement strictly all the priority development projects as planned in order to achieve desirable socio-economic development and environmental outcomes in the municipality and eventually deliver timely benefits to its constituents. Also, submit explanation or justification why these projects were not implemented.

4. Non-utilization of P1,311,530.13 or 10.86% of appropriated fund for Solid Waste Management caused the LGU Allacapan not to fully implement the Solid Waste Management programs, projects and activities which contravened the declared policy of the State and may affect the disposal in appropriate and environmentally sound solid waste management facilities posing risk of distress to the general health of the public in the locality.

   We recommended that Management direct the Municipal Solid Waste Management Board and Municipal Environment and Natural Resource Office to oversee the full implementation of the Solid Waste Management PPAs of LGU Allacapan to timely avail of the benefits that the public could derive therefrom.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	6,113,932.95	-	3,407,856.93	2,706,076.02	55.74%
Current Year	-	-	-	-	
Total	**6,113,932.95**	**-**	**3,407,856.93**	**2,706,076.02**	**55.74%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations contained in the Annual Audit Report for Calendar Year 2018, three (3) were fully implemented, four (4) were partially implemented and the remaining one (1) was not implemented.